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Investor Presentation | Asia Pacific

S. Korea Telecom Services / IT Services and Technology: 'Value-up' + AI optionality

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S. KOREA TELECOMS & INTERNET

Asia Pacific

Industry View **In-Line**

Key Messages

Telecom Services

We see a return to a stable operating environment in 2026, alongside increasing investment in data centers

- Competition has stabilized following the SKT and KT data breaches, while capex continues to trend lower.
- Emerging demand for AI data centers could drive a shift in capital allocation away from telecom equipment and toward data center investments.
- Shareholder returns remain a key focus across all three operators.

Stock picks: LGU remains our preferred pick

- LGU (OW): We expect LGU to deliver the strongest earnings growth this year, driven by workforce restructuring undertaken in 2025. We expect management to utilize the higher earnings base to increase share buybacks.
- KT (EW): We await greater clarity on the new management team's strategy regarding AI and shareholder returns.
- SKT (EW): The value of its AI assets has become the key share price driver. The reinstatement of dividends is a positive development.

IT Services and Technology

- Samsung SDS (OW): We see AI data centers, the enterprise AI deployment cycle, and cash deployment as key re-rating catalysts.
- LG CNS (EW): Core operations remain stable, but we believe enthusiasm around robotics has become overly reflected in the valuation.

1

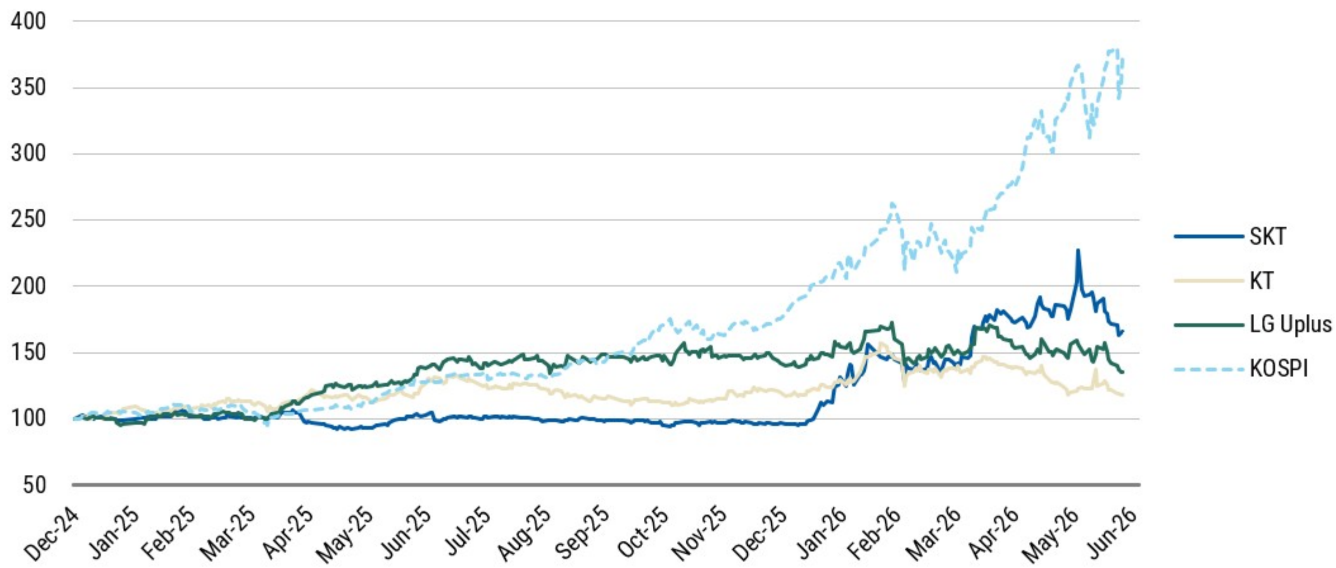
Telecom Services
Competitive risks and AI opportunities

2

2

S. Korea Telecoms: Industry Overview
Share price performance

Share price performance from 2025

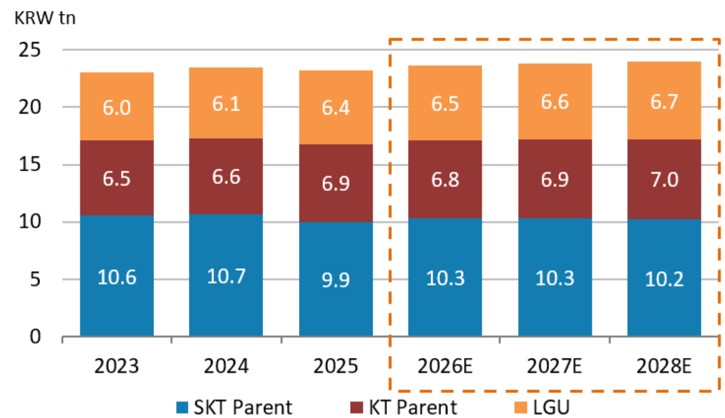


Source: FactSet, Morgan Stanley Research.

3

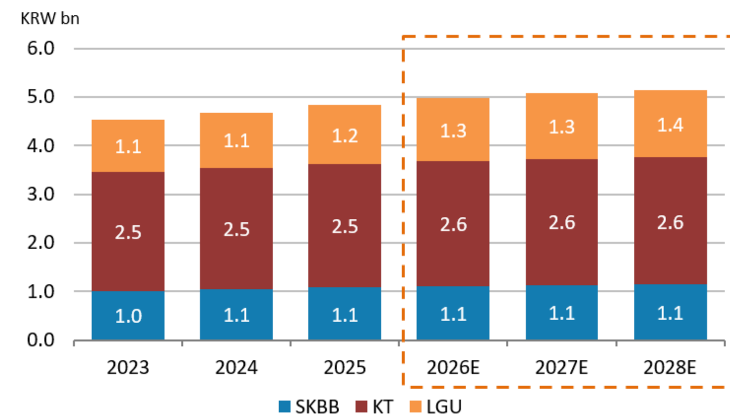
S. Korea Telecom: Industry Overview
We expect overall stable revenues and margins from core telecom operations

Wireless service revenues



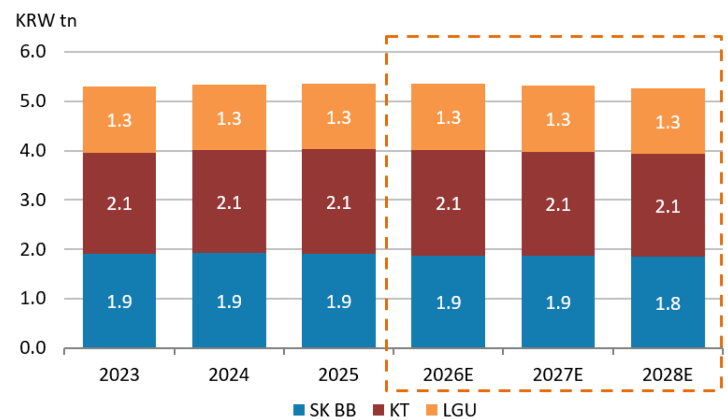
Source: Company data, Morgan Stanley Research (E) estimates.

Broadband revenues



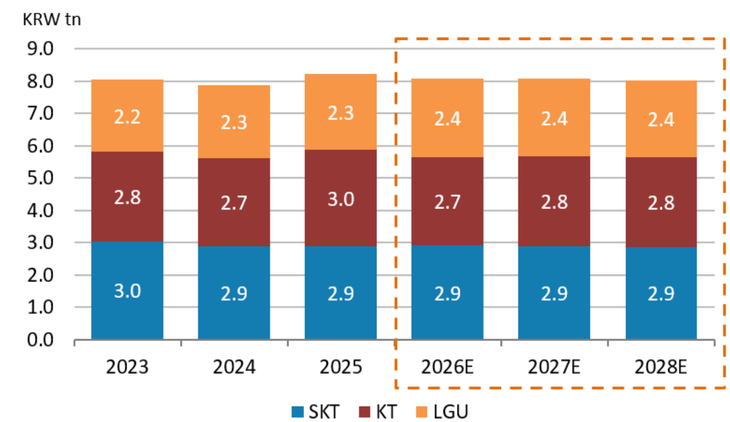
Source: Company data, Morgan Stanley Research (E) estimates.

IPTV revenues



Source: Company data, Morgan Stanley Research (E) estimates.

Marketing expenditure

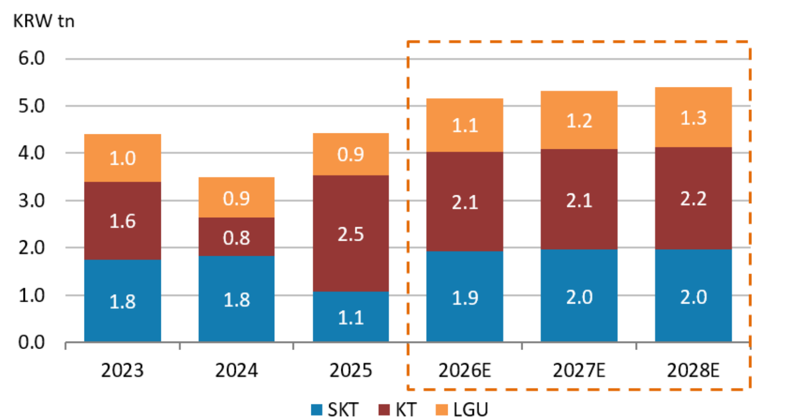


Source: Company data, Morgan Stanley Research (E) estimates.

4

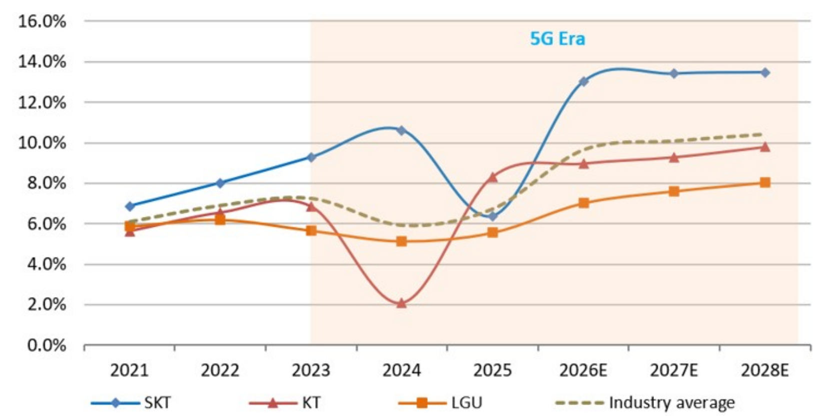
S. Korea Telecom: Industry Overview
Improving free cash flows have enabled operators to increase profits and shareholder returns

Operating profit



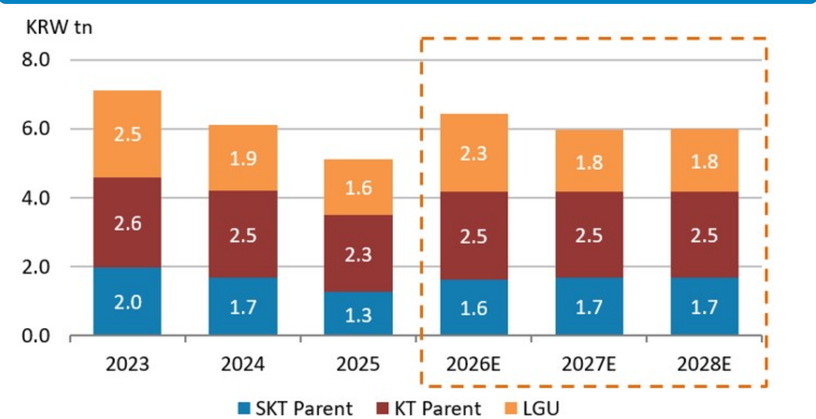
Source: Company data, Morgan Stanley Research (E) estimates.

RoIC trend by operator



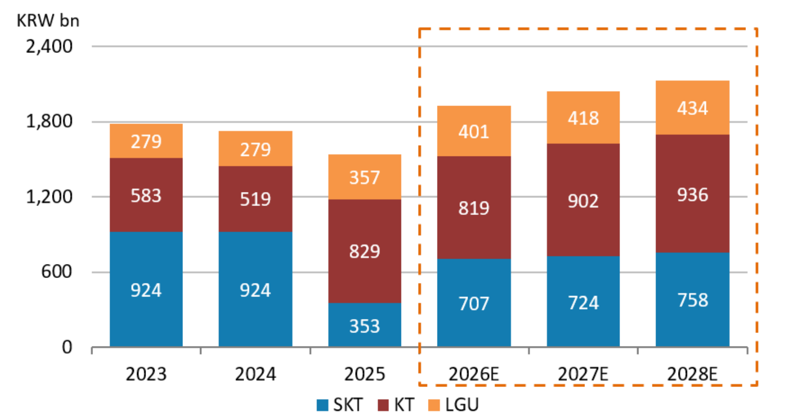
Source: Company data, Morgan Stanley Research (E) estimates.

CAPEX



Source: Company data, Morgan Stanley Research (E) estimates.

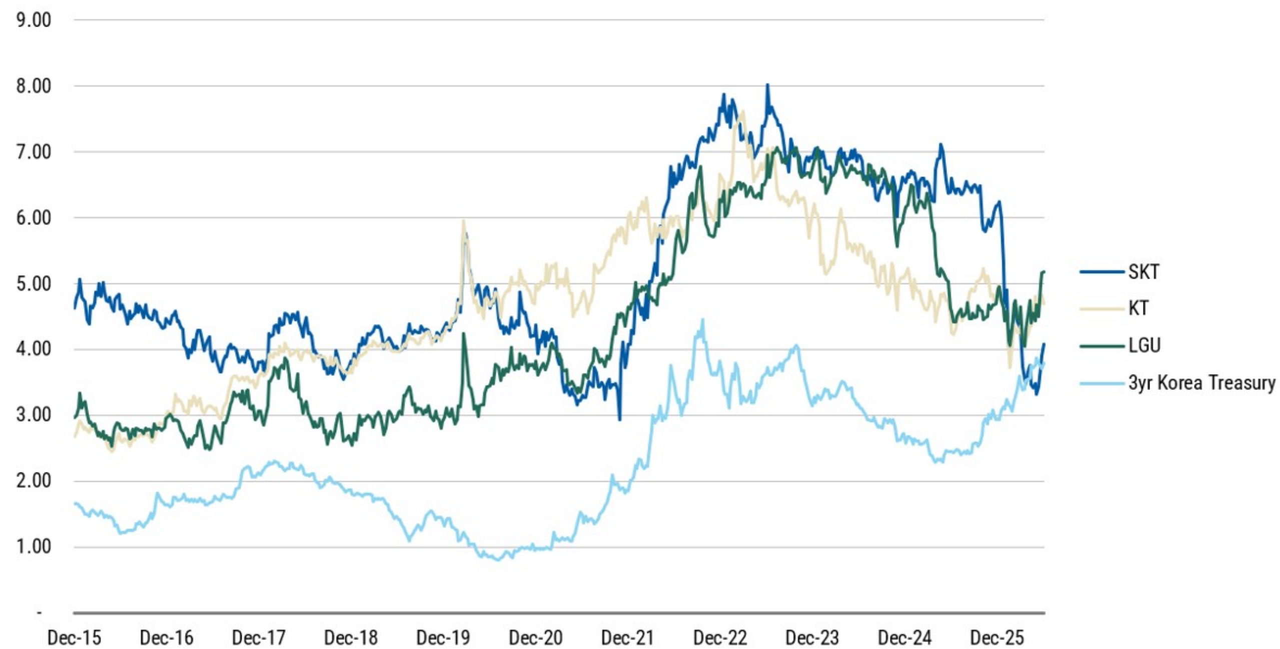
Shareholder returns



Source: Company data, Morgan Stanley Research (E) estimates.

S. Korea Telecom: Industry Overview
Dividend yields

Spread between dividend and Korea treasury bond yields



Source: Factset, Morgan Stanley Research.

- Historical spread between dividend yields and Korea's benchmark 3-year treasuries in the past 10 years has been ~240bps.
- Current spread is close to 86bps, but this does not include share buybacks.

6

Valuation multiples
Korea valuations remain cheap within APAC telecom universe

Company	Country	MW Ticker	Mkt Cap (US$mn)	Target Price	Price 3-Jul-26	Up/down side	P/E		EV/EBITDA		EV/Sales		FCF Yield		Div Yield		P/BV		25-28 CAGR	
							2026	2027	2026	2027	2026	2027	2026	2027	2026	2027	2026	2027	EPS	DPS
Asia Pacific																				
Korea																				
LG Uplus	S. Korea	032640.KS	3,964	18,000	14,200	27%	8.80	7.50	2.92	2.65	0.73	0.68	0.10	0.22	4.9%	5.3%	0.66	0.63	18.2%	7.2%
KT Corp	S. Korea	030200.KS	9,105	64,000	53,700	19%	9.90	9.30	3.84	3.75	0.78	0.75	0.09	0.12	4.5%	5.2%	0.71	0.68	-5.5%	7.7%
SK Telecom	S. Korea	017670.KS	11,944	80,000	86,400	-7%	15.05	13.90	5.01	4.88	1.41	1.39	0.08	0.06	3.8%	3.9%	1.38	1.32	48.6%	29.0%
China																				
China Mobile	China	0941.HK	211,614	80.00	76.70	4%	11.11	10.68	4.48	4.27	1.27	1.20	0.09	0.12	8.0%	8.5%	0.97	0.95	1.6%	5.7%
China Telecom	China	0728.HK	69,828	5.00	4.37	14%	11.81	11.62	3.54	3.27	0.80	0.74	0.13	0.16	7.2%	7.7%	0.74	0.73	-0.7%	3.9%
China Unicom	China	0762.HK	24,116	7.00	6.18	13%	8.80	8.56	1.73	1.34	0.36	0.27	0.10	0.28	6.9%	7.5%	0.44	0.43	1.0%	5.0%
China Communication Service	China	0552.HK	3,480	4.40	3.94	12%	6.41	6.01	0.55	0.24	0.02	0.01	0.39	0.07	6.9%	7.5%	0.47	0.45	3.7%	6.0%
Taiwan																				
Chunghwa Telecom	Taiwan	2412.TW	34,305	130	141	-8%	27.49	26.83	11.61	11.35	4.30	4.15	0.05	0.05	3.6%	3.7%	2.84	2.83	2.4%	1.7%
Taiwan Mobile	Taiwan	3045.TW	11,051	115	117	-1%	23.76	22.86	10.14	9.76	2.05	1.98	0.07	0.08	4.1%	4.3%	4.06	4.02	2.4%	2.4%
Far Eastone	Taiwan	4904.TW	11,874	100	105	-5%	26.15	24.95	10.48	10.00	3.57	3.43	0.07	0.07	3.8%	4.0%	4.08	4.05	4.5%	4.5%
Hong Kong																				
HKT Trust and HKT	Hong Kong	6823.HK	-	14.00	11.91	18%	16.23	15.58	3.02	2.97	1.19	1.18	0.08	0.09	7.1%	7.4%	2.50	2.55	4.4%	3.0%
PCCW Ltd	Hong Kong	0008.HK	5,401	5.80	5.47	6%	49.17	40.16	8.05	8.09	2.76	2.85	(0.01)	0.00	7.3%	7.5%	NM	NM	NM	3.0%
HTHKH	Hong Kong	0215.HK	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Singapore																				
Singapore Telecom	Singapore	STEL.SI	55,229	5.50	4.47	23%	26.72	24.23	23.67	20.21	6.39	5.35	(0.01)	0.01	4.1%	4.4%	2.59	2.58	11.9%	6.8%
India																				
Bharti Airtel	India	BRTI.NS	116,162	2,480.00	1,910.40	30%	40.87	34.77	9.38	8.54	5.39	4.86	0.05	0.03	1.3%	1.8%	7.43	6.90	31.3%	40.7%
Malaysia																				
Axiata	Malaysia	AXIA.KL	4,736	3.40	2.10	62%	18.04	14.82	6.74	6.33	3.17	2.99	0.10	0.11	5.3%	6.1%	0.91	0.90	25.2%	13.7%
Telekom Malaysia	Malaysia	TLMM.KL	7,107	8.30	7.55	10%	16.54	15.94	6.52	6.11	2.33	2.24	(0.01)	(0.00)	4.5%	4.7%	2.62	2.51	3.2%	5.8%
Maxis Berhad	Malaysia	MXSC.KL	6,668	3.90	3.47	12%	16.40	16.26	7.85	7.61	3.18	3.09	0.08	0.07	5.2%	5.5%	4.25	4.13	3.2%	4.6%
Celcomdigi Berhad	Malaysia	CELC.KL	8,316	3.02	2.89	4%	17.62	16.68	7.51	7.20	3.42	3.30	0.11	0.11	5.4%	5.8%	2.08	2.07	5.2%	5.2%
Thailand																				
Advanced Info Service	Thailand	ADVANC.BK	33,582	450.00	375.00	20%	21.39	20.20	10.28	9.84	5.76	5.53	0.06	0.06	4.4%	4.7%	16.43	15.28	7.0%	-18.3%
Indonesia																				
PT Telkom	Indonesia	TLKM.JK	13,878	3,200.00	2,520.00	27%	10.96	10.39	3.34	3.17	1.68	1.59	0.11	0.11	7.3%	7.7%	1.65	1.60	5.9%	5.9%
PT Indosat	Indonesia	ISAT.JK	3,559	2,350.00	1,985.00	18%	11.33	10.41	4.04	3.78	1.91	1.80	0.15	0.16	5.7%	6.2%	1.56	1.48	7.4%	17.0%
XL Axiata	Indonesia	EXCL.JK	1,839	1,700.00	2,530.00	-33%	23.03	13.76	4.24	3.75	2.22	2.04	0.21	0.24	2.0%	4.4%	0.92	0.90	21.7%	53.3%
Phillipines																				
PLDT	Phillipines	TEL.PS	4,118	1,600.00	1,171.00	37%	7.05	6.64	4.81	4.68	2.34	2.28	0.05	0.07	8.5%	9.0%	1.77	1.60	6.8%	6.8%
Globe Telecom Inc.	Phillipines	GLO.PS	4,459	2,550.00	1,885.00	35%	10.19	9.26	5.40	5.09	2.67	2.54	0.04	(0.07)	5.3%	5.8%	1.70	1.56	8.4%	11.2%
AN&Z																				
Telstra	Australia	TLS.AX	42,594	5.40	4.98	8%	23.18	22.24	9.01	8.50	3.30	3.12	0.07	0.07	4.2%	4.4%	4.77	4.84	7.3%	6.6%
TPG Telecom	Australia	TPG.AX	4,629	3.50	3.61	-3%	79.59	74.60	6.27	6.06	2.07	1.97	(0.10)	(0.08)	5.3%	5.5%	0.80	0.83	25.6%	5.3%
Spark New Zealand	New Zealand	SPK.NZ	1,928	1.90	1.86	2%	14.30	12.81	3.97	4.04	1.10	1.10	0.25	0.10	9.2%	9.2%	2.34	2.42	13.8%	-12.1%
Japan																				
NTT	Japan	9432.T	73,847	150.00	146.10	3%	11.29	10.63	7.36	7.20	1.86	1.78	0.04	0.06	3.7%	3.8%	1.15	1.09	7.0%	3.1%
Softbank	Japan	9984.T	220,213	8,000.00	6,169.00	30%	56.85	51.44	18.99	18.31	6.10	5.88	0.02	0.02	0.2%	0.2%	1.92	1.86	-47.2%	0.0%
Median							**16.4x**	**14.8x**	**6.3x**	**6.1x**	**2.2x**	**2.0x**	**8.0%**	**7.2%**	**5.2%**	**5.5%**	**1.7x**	**1.6x**	**6.4%**	**5.7%**

Source: Morgan Stanley Research estimates. Share prices as of July 3, 2026.

S. Korea data center overview

We see an emerging push to build out local AI data centers

- Increasing demand for AI tokens in Korea
  - Korea has one of the highest rates of AI chatbot usage globally.
  - Enterprise adoption of AI services continues to gain momentum.
    - ✓ Samsung Group's decision to deploy external AI services across all business areas should further accelerate AI demand.

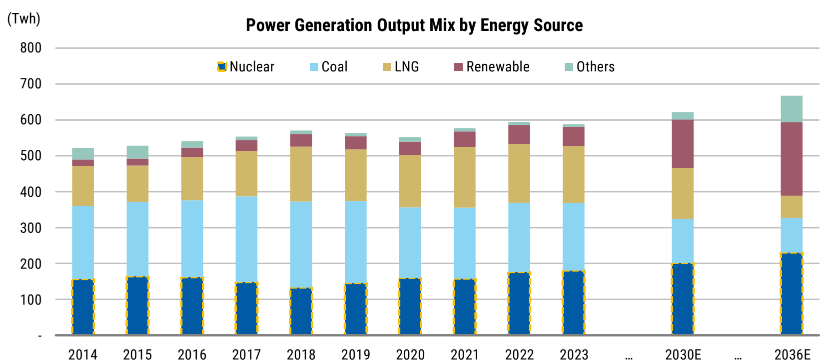
- Data sovereignty requirements are driving local token generation
  - Industries such as memory, defense, and financial services impose strict restrictions on sending data outside Korea.
  - This implies a significant build-out of domestic AI inference capacity.

- SK Group, GS, and Naver plan to build 8.4GW of AI data center capacity, backed by W550tn of investment
  - Long-term plans target 18.4GW of capacity and more than W1,000tn of cumulative investment by 2035.

S. Korea data center overview

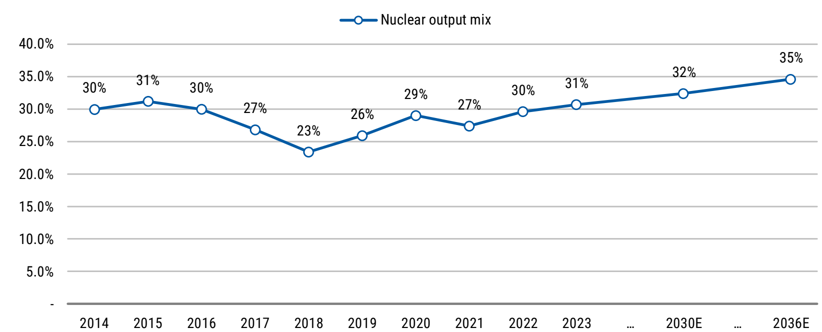
Growing nuclear mix positions Korea well for AI data center build-out

Korea's power generation mix



Source: KPX, MOTIE, Morgan Stanley Research. E = MOTIE estimates

Nuclear to reach 35% by 2036

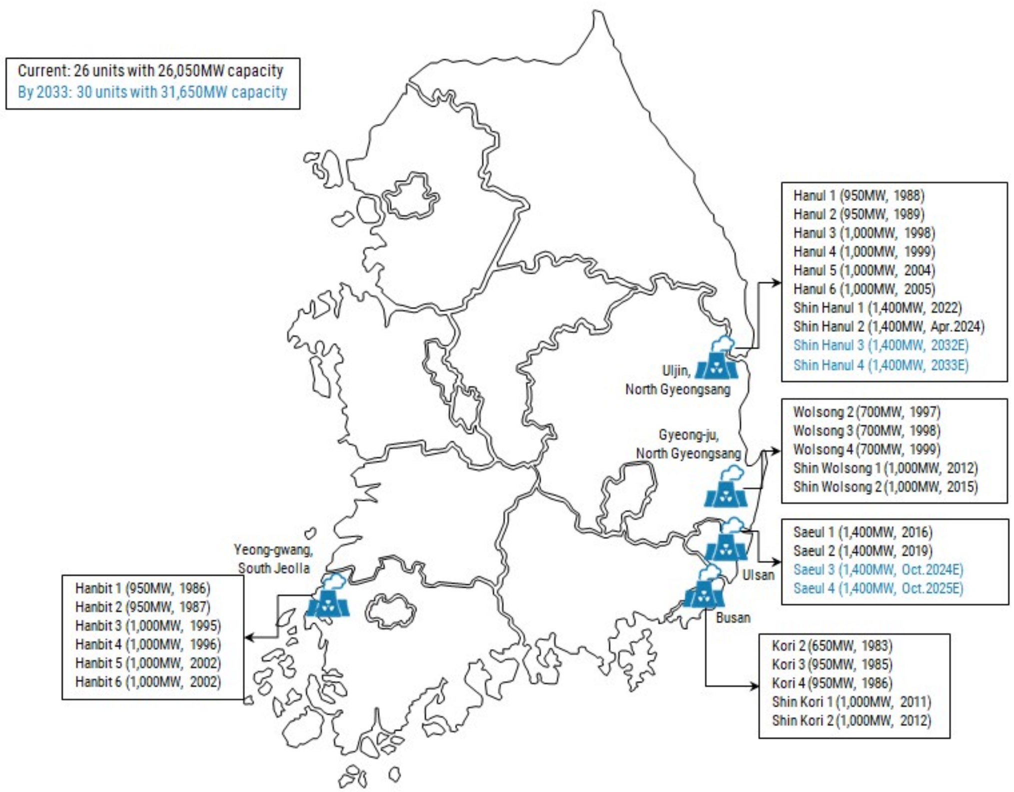


Source: KPX, MOTIE, Morgan Stanley Research. E = MOTIE estimates

- KEPCO plans to commission four additional nuclear reactors by 2036, increasing Korea's nuclear fleet to 30 reactors. Nuclear power generation is expected to reach 231TWh, accounting for 35% of the country's total electricity output.
- As one of the few countries outside China actively expanding its nuclear fleet, Korea appears well positioned to provide sufficient power for a growing AI data center ecosystem over the medium term.
- That said, a clear roadmap to preferential power tariffs, or flexibility for PPAs, remain in the works.

S. Korea data center overview
Korea's growing nuclear fleet

Korea will have four new nuclear power plants online by 2033



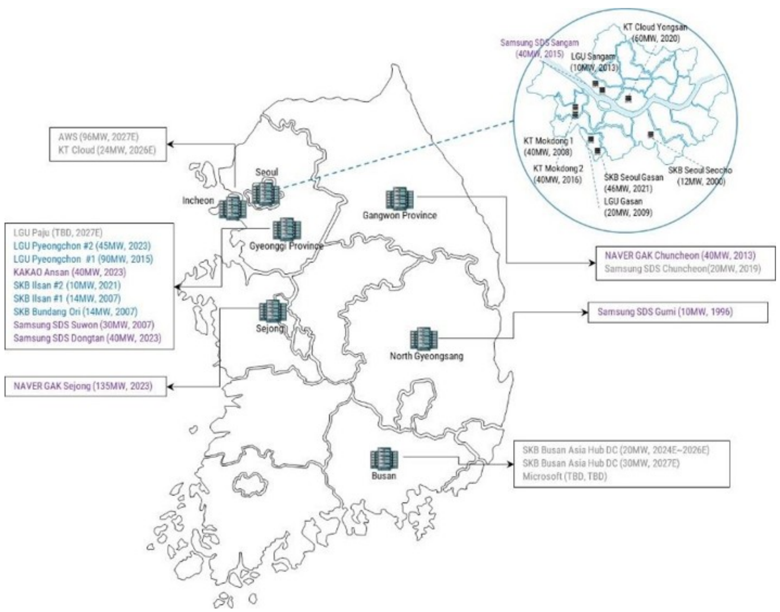
Note: Blue denotes planned capacity
Source: KHNP, Morgan Stanley Research

10

S. Korea data center overview

Dispersed Energy Act aims to decentralize power usage away from Seoul

80% of DC Capacity concentrated in Seoul /Gyeonggi



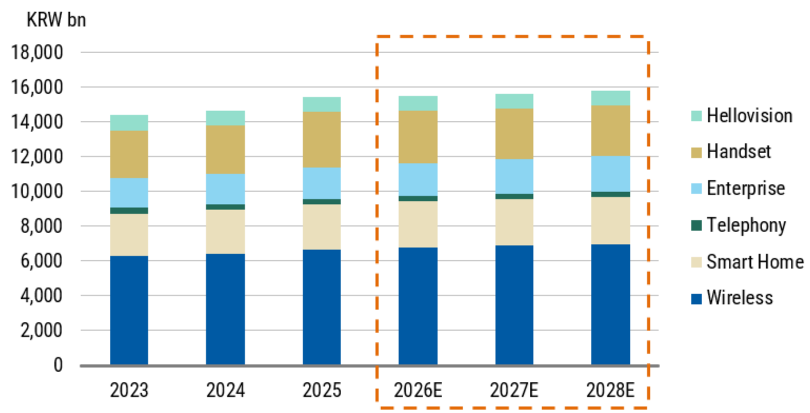
Note: Blue denotes data centers currently under operation, grey denotes data centers under plans/construction, purple denotes corporate data center
Source: Company data, Morgan Stanley Research

- Dispersed Energy Act passed this year to decentralize power usage
  - Gives KEPCO the right to refuse power connection if load to power grid is significant
- Allows companies to sign PPAs with power plants at negotiated prices
  - We see this allowing DCs to co-locate with nuclear power plant sites
- Regional governments have been proactive in leveraging new rules to attract data centers

11

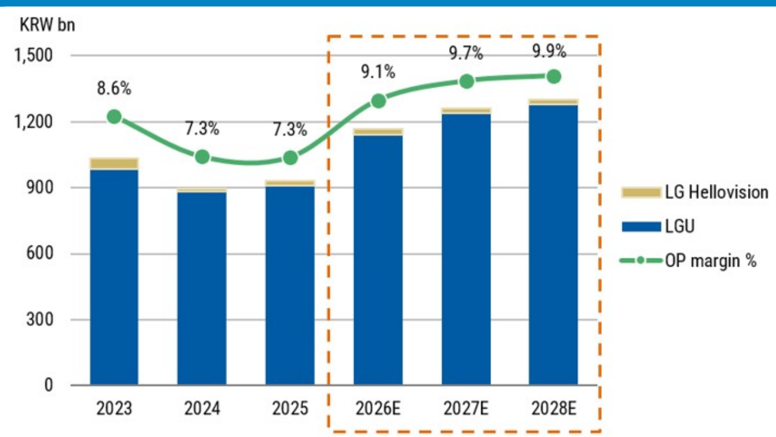
LG Uplus (Overweight; PT W18,000)
Earnings recovery and improving shareholder returns support our Overweight rating

Revenue forecasts by segment



Source: Company data, Morgan Stanley Research (E) estimates.

Operating profit forecasts



Source: Company data, Morgan Stanley Research (E) estimates.

- 2026 earnings recovery supported by management's profitability focus and 2025 headcount reductions.
  - We forecast LGU to post 27% OP growth in 2026 – the highest among the three operators.
- We expect Enterprise revenue growth to accelerate, led by the new Paju data center cluster.
  - The company appears to be maintaining its co-location-centric business model.
- We see higher earnings translating into increased share buybacks.
  - We estimate TSR of ~7% for 2026.
- Valuation attractive at ~9x 2026e PER and ~3x EV/EBITDA.

12

LG Uplus (Overweight; PT W18,000)
Valuations: We apply SoTP with DCF used for the parent telecom business

Parent-only DCF calculation and SoTP valuation

LGU Parent: Discounted cash flow valuation	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
KRW bn	0	1	2	3	4	5	6	7	8	9	10
NOPAT	857	929	961	1,007	1,052	1,051	1,032	1,028	1,016	971	940
+ D&A	2,653	2,673	2,711	2,711	2,681	2,712	2,753	2,768	2,792	2,856	2,901
- Capex and intangibles	-2,927	-2,432	-2,486	-2,692	-3,026	-3,362	-3,264	-3,034	-2,928	-2,884	-2,839
= FCF	**582**	**1,170**	**1,186**	**1,026**	**707**	**401**	**521**	**762**	**879**	**943**	**1,002**
										Teminal value	15,864
										Terminal growth rate	1.0%
										WACC	7.4%

LG Uplus: Fair value calculation	
Present value of FCF	12,410
Net debt	-4,746
50% stake in LG Hellovision	68
Fair value	**7,732**
Fair value per share (KRW)	**18,000**

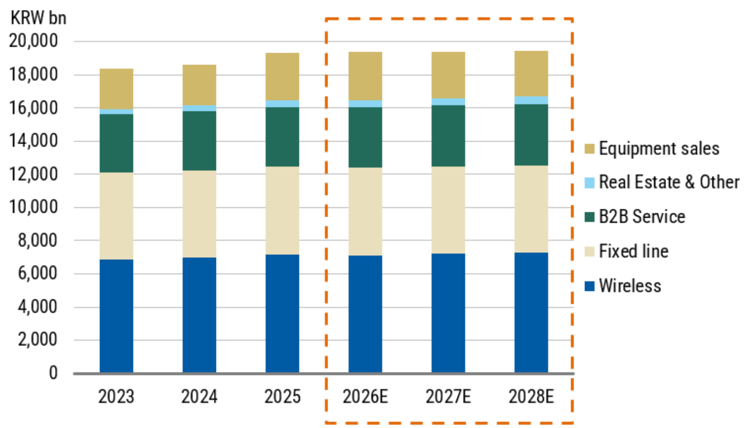
WACC calculation	
Risk free rate	4.0%
Equity risk premium	6.0%
Beta	0.73
Cost of equity	8.4%
Equity weighting	80%

Source: Morgan Stanley Research (E) estimates.

13

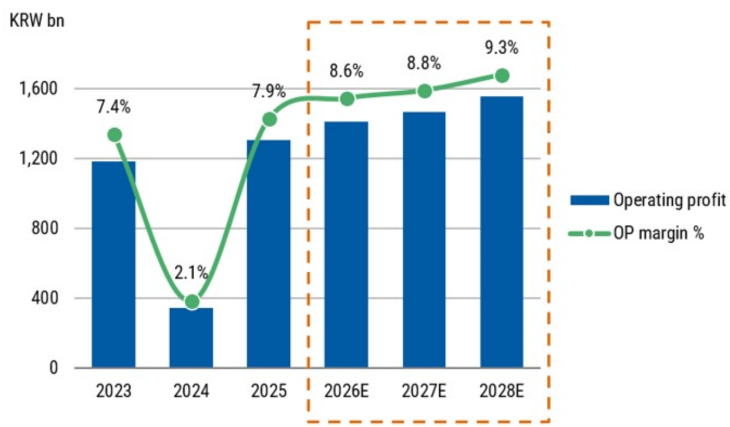
KT Corp (Equal-weight; PT W64,000)
Awaiting new CEO strategic priorities

Parent-only revenue forecasts by segment



Source: Company data, Morgan Stanley Research (E) estimates.

Parent-only operating profit forecasts



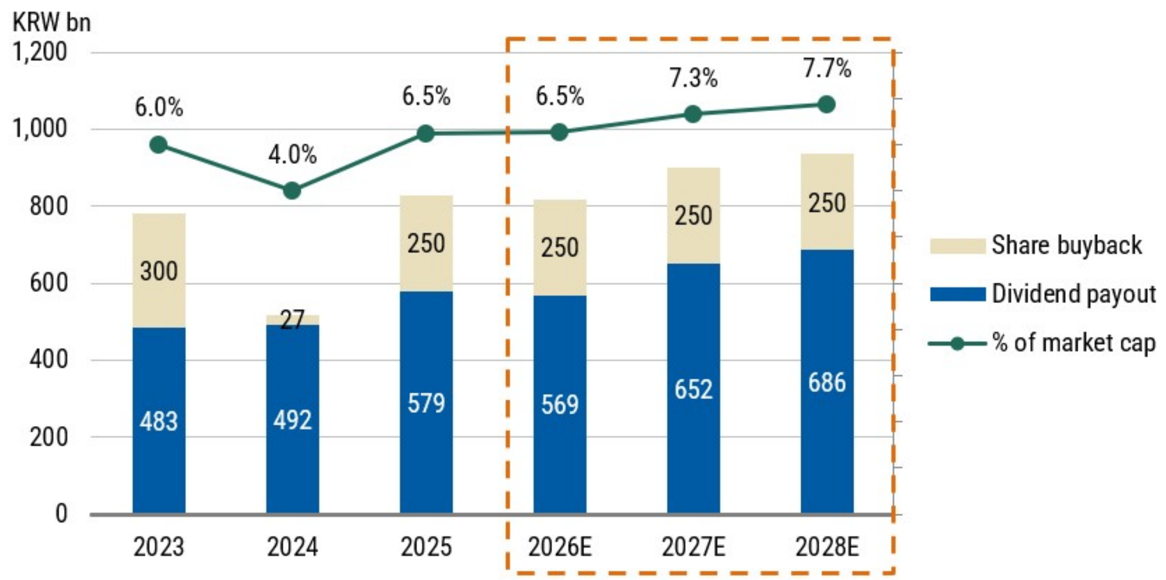
Source: Company data, Morgan Stanley Research (E) estimates.

- Awaiting new management's strategic roadmap and growth catalysts.
  - With CEO Park now at the helm, investors are looking for an update on strategic priorities and new growth initiatives.
- Core telecom fundamentals remain healthy; direction on AI infrastructure remains undecided.
  - We expect new management to be more pro-active on AIDCs – but this is yet to be confirmed.
- Recent share-price pullback has made valuations more compelling.
  - Shares trade at ~10x 2026e PER.
  - Total Shareholder Return (TSR) of ~6.5%.
- Better AI execution and/or higher shareholder returns are the key catalysts we are looking for.

14

KT Corp (Equal-weight; PT W64,000)
We see total shareholder returns at over 6.5% of market cap

Total Shareholder Return



Source: Morgan Stanley Research (E) estimates.

15

KT Corp (Equal-weight; PT W64,000)
Valuations: We apply a sum-of-the-parts approach

Parent-only DCF calculation and SoTP valuation

KT Parent only: Discounted cash flow valuation	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
Discount year	0	1	2	3	4	5	6	7	8	9	10
NOPAT	1,059	1,098	1,167	1,211	1,195	1,171	1,142	1,119	1,103	987	934
+ D&A	3,234	3,189	3,148	3,104	3,120	3,149	3,189	3,223	3,250	3,394	3,453
- Capex & intangibles	-2,941	-2,880	-2,900	-3,344	-3,871	-3,875	-3,703	-3,530	-3,355	-3,266	-3,211
= FCF	**1,353**	**1,407**	**1,415**	**971**	**444**	**445**	**628**	**812**	**998**	**1,115**	**1,176**
										Terminal value	**17,414**
										Terminal growth rate	0.0%
										WACC	6.8%

SoTP calculation	Valuation Method	Stake	Discount	Fair value	FV per Share (W)
KT Parent only	DCF	100.0%	0.0%	10,337	43,600
KT Cloud	Transaction value	86.3%	25.0%	2,779	11,700
KT Skylife	Mark to market	50.3%	30.0%	69	300
Genie Music	Mark to market	36.6%	30.0%	19	100
KT Alpha	Mark to market	67.1%	30.0%	98	400
Nasmedia	Mark to market	42.8%	30.0%	33	100
KT Estate	1.0x book	100.0%	30.0%	1,212	5,100
BC Card	0.5x book	69.5%	30.0%	689	2,900
Fair value of KT Corp				**15,235**	
Fair value per share (KRW, rounded to W1,000)					**64,000**

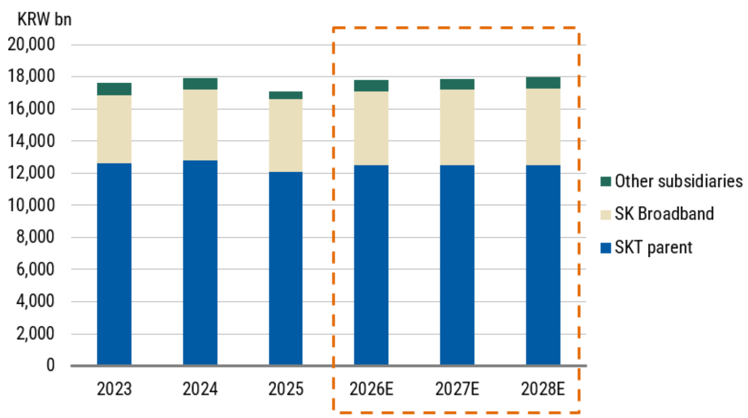
WACC Calculation	
Risk free rate	4.0%
Equity risk premium	6.0%
Beta	0.60
Cost of equity	7.6%
Equity weighting	80%

Source: Morgan Stanley Research (E) estimates.

16

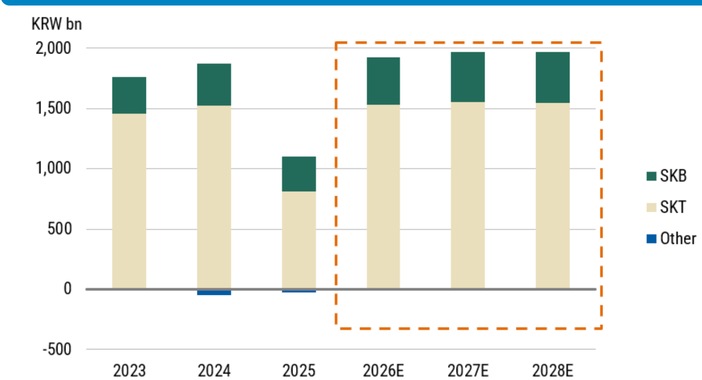
SK Telecom (Equal-weight; PT W80,000)
Higher exposure to AI presents risks and opportunities

Consolidated revenues



Source: Company data, Morgan Stanley Research (E) estimates.

Consolidated OP forecast



Source: Company data, Morgan Stanley Research (E) estimates.

- New CEO has not yet held an investor day but has announced key decisions on AI
  - Sustained focus on AI, although focus appears to be more on AIDCs than software/solutions.
  - The company recently announced plans to operate 1GW data center capacity by 2030 and 5GW over the longer term.
- Quarterly dividends reinstated at W830 per share.
  - We now assume annual dividends are back to W3,320 for full year.
- Value of AI assets now a key part of valuation debate
  - We value the core telecom operations at W69,000 per share.
- Valuations at 15x PER for 2026e with ~3.8% dividend yield.

17

SK Telecom (Equal-weight; PT W80,000)
Valuations: We apply SoTP using DDM to value the parent wireless business

Parent-only DDM calculation and SoTP valuation

Dividend discount valuation	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
KRW bn	0	1	2	3	4	5	6	7	8	9	10
Annual dividend payments	**707**	**724**	**758**	**845**	**932**	**974**	**946**	**954**	**995**	**1,063**	**1,169**
										Terminal value	20,003
										Terminal growth rate	2.0%
										Cost of equity	8.0%

Sum-of-the-parts			
KRW bn	Method	Fair value	FV/share
SKT parent only	DDM	14,729	69,154
AI investments	Private valuation / market value	2,233	10,484
Fair value		**16,962**	**80,000**

Source: Morgan Stanley Research estimates.

18

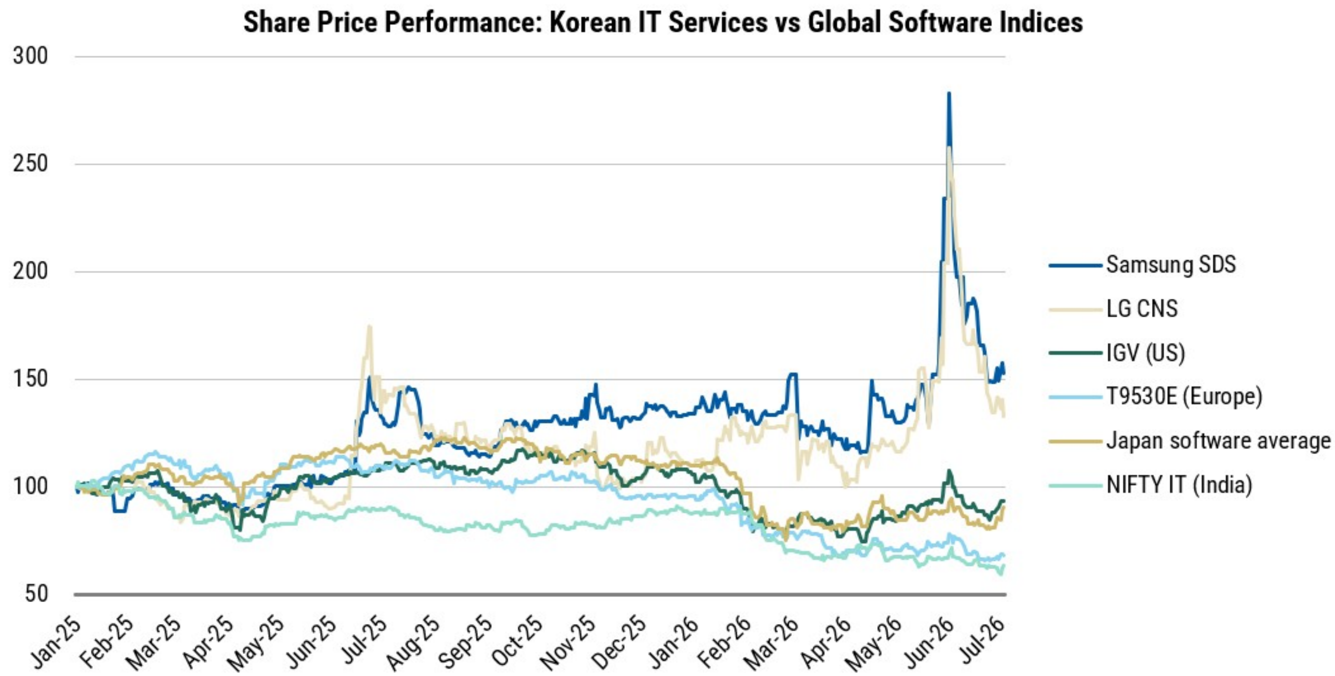
IT Services and Technologies

AI, Data Centers and Robotics

19

S. Korea IT Service: Industry Overview
Korea stocks have defied the global trend

Share Price Performance from 2025

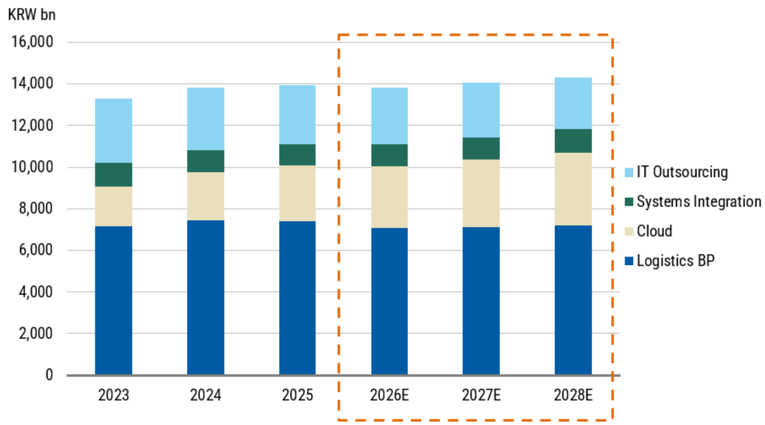


Source: Factset. Note: Indexed to 100 as of January 1, 2025. IGV (US) = iShares Expanded Tech-Software Sector ETF; T9530E (Europe) = EURO STOXX Total Market Software & Computer Services; NIFTY IT (India) = India NSE Nifty IT; Japan = equal-weighted average of Japanese software / IT services companies under MS coverage.

20

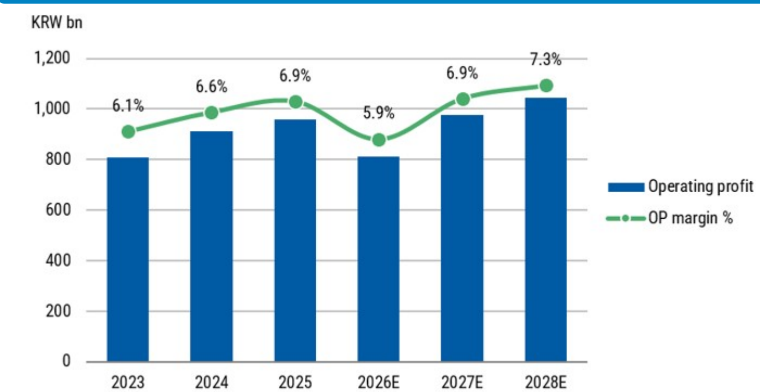
Samsung SDS (Overweight; PT W270,000)
AIDC build-out and AI software cycle support re-rating

Revenue forecasts by segment



Source: Company data, Morgan Stanley Research (E) estimates.

Operating profit forecasts



Source: Company data, Morgan Stanley Research (E) estimates.

- We see AIDC build-out transforming Samsung SDS into a leading cloud service provider in Korea.
  - Demand for tokens, data sovereignty and local inference capacity support AIDC build-out.
  - Gumi AIDC remains the key medium-term catalyst; base case assumes Gumi AI data center revenue reaches W1.4tn by 2030.
  - Captive demand should help anchor utilization.
- We forecast IT Service revenue to accelerate on stronger captive demand
  - Samsung Electronics Taylor fab-related orders should support SI demand.
  - AI software installation across Samsung Group affiliates should drive additional bookings.
- Cash deployment remains a potential catalyst.
  - KKR partnership should support more proactive M&A and capital allocation.
  - SDS holds c.W6tn in cash.
  - Shares trade at 22x 2026e PER and 12x on an ex-cash basis.

Samsung SDS (Overweight; PT W270,000)
Valuations: We apply SoTP

DCF calculation and SoTP valuation

KRW bn	2026	2027	2028	2029	2030	2031	2032	2033	2034
Discount year	0	1	2	3	4	5	6	7	8
NOPLAT	589	707	757	864	976	1,109	1,314	1,460	1,781
+ D&A	379	375	389	569	791	1,009	1,189	1,355	1,403
- capex and intangible spending	-792	-1,018	-1,043	-1,803	-1,813	-1,621	-1,430	-1,438	-1,446
=FCF	**176**	**64**	**104**	**-370**	**-46**	**497**	**1,073**	**1,378**	**1,738**
								Terminal value	28,155
								Terminal growth rate %	2.0%
								WACC	8.3%

Fair value calculation	
PV of FCF	16,270
Value of stake in National AI Computing Cente	220
Net cash (@30% discount to book)	4,689
Fair value of Samsung SDS	**21,178**
Fair value per share (KRW)	**270,000**

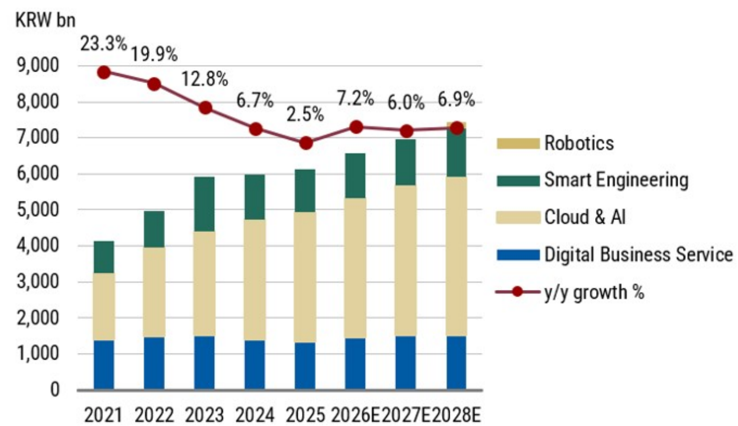
WACC calculation	
Risk free rate	3.5%
Equity risk premium	6.0%
Beta	0.85
Cost of equity	8.6%
Equity weighting	95%

Source: Morgan Stanley Research (E) estimates.

22

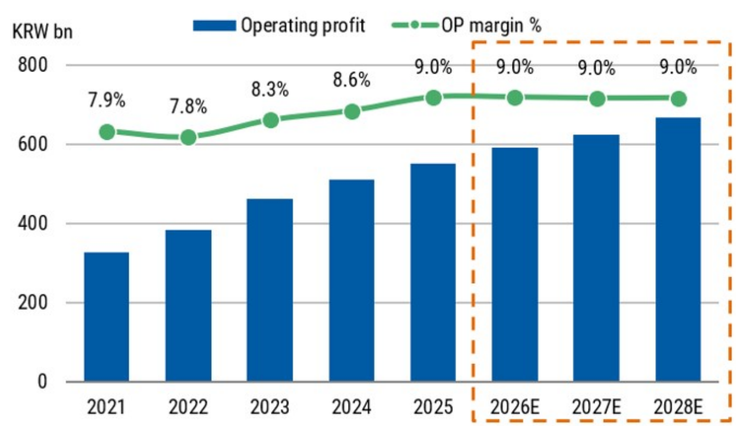
LG CNS (Equal-weight; PT W80,000)
Data center DBO and AI optionality intact, but robotics remains early-stage

Revenue forecasts by segment



Source: Company data, Morgan Stanley Research (E) estimates.

Operating profit forecasts



Source: Company data, Morgan Stanley Research (E) estimates.

- We see improving revenue visibility from data center DBO wins and recovery in Digital Business Service.
  - DBO projects (Samsung, Jakarta) provide capital-light exposure to structural data-center demand.
  - Digital Business Service should return to growth, supported by financial-sector next-generation system projects.
- Robotics remains a long-term option, but revenue visibility is difficult to assess
  - PhysicalWorks aims to provide the software layer for multi-vendor robot control, monitoring and orchestration.
  - We currently include W200bn in robotics revenue in 2028, accounting for around 3% of total revenue.
- Trading at 16x 2027e P/E, valuation looks fair.
- We think the stock already reflects positive developments and likely some excess optimism on robotics.

23

LG CNS (Equal-weight; PT W80,000)
Valuations: We apply DCF

DCF calculation and SoTP valuation

KRW bn	2026	2027	2028	2029	2030	2031
Discount year	0	1	2	3	4	5
NOPLAT	429	453	485	513	550	586
+ D&A	74	79	93	109	125	141
- capex and intangible spending	-99	-127	-136	-144	-154	-164
=FCF	**404**	**406**	**442**	**478**	**521**	**563**
					Terminal value	7,195
					Terminal growth rate %	1.0%
					WACC	8.9%

Fair value calculation	
PV of FCF	6,167
Net cash	1,579
Fair value of LG CNS	**7,746**
Fair value per share (KRW)	**80,000**

WACC calculation	
Risk free rate	3.5%
Equity risk premium	6.0%
Beta	0.90
Cost of equity	8.9%
Equity weighting	100%

Source: Morgan Stanley Research (E) estimates.

24

Disclosure Section

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Global Stock Ratings Distribution

(as of June 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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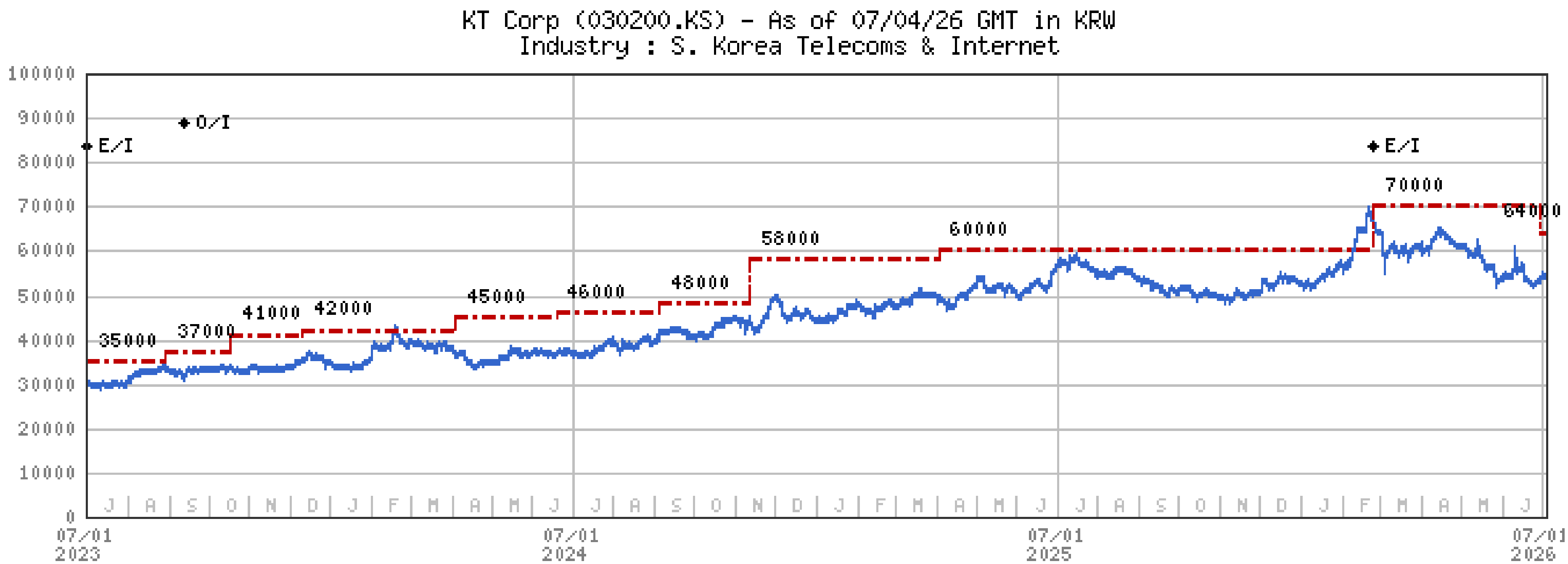
Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 7/1/21 : E/I; 8/11/21 : O/I; 12/7/21 : E/I; 3/21/22 : O/I; 2/27/23 : E/I; 9/12/23 : O/I; 2/24/26 : E/I

Price Target History: 5/18/21 : 32000; 8/11/21 : 43000; 12/7/21 : 35000; 3/21/22 : 40000; 5/26/22 : 44000; 8/24/22 : 46000; 11/25/22 : 44000; 2/27/23 : 30000; 6/23/23 : 35000; 8/29/23 : 37000; 10/17/23 : 41000; 12/11/23 : 42000; 4/4/24 : 45000; 6/19/24 : 46000; 9/5/24 : 48000; 11/11/24 : 58000; 4/3/25 : 60000; 2/24/26 : 70000; 6/29/26 : 64000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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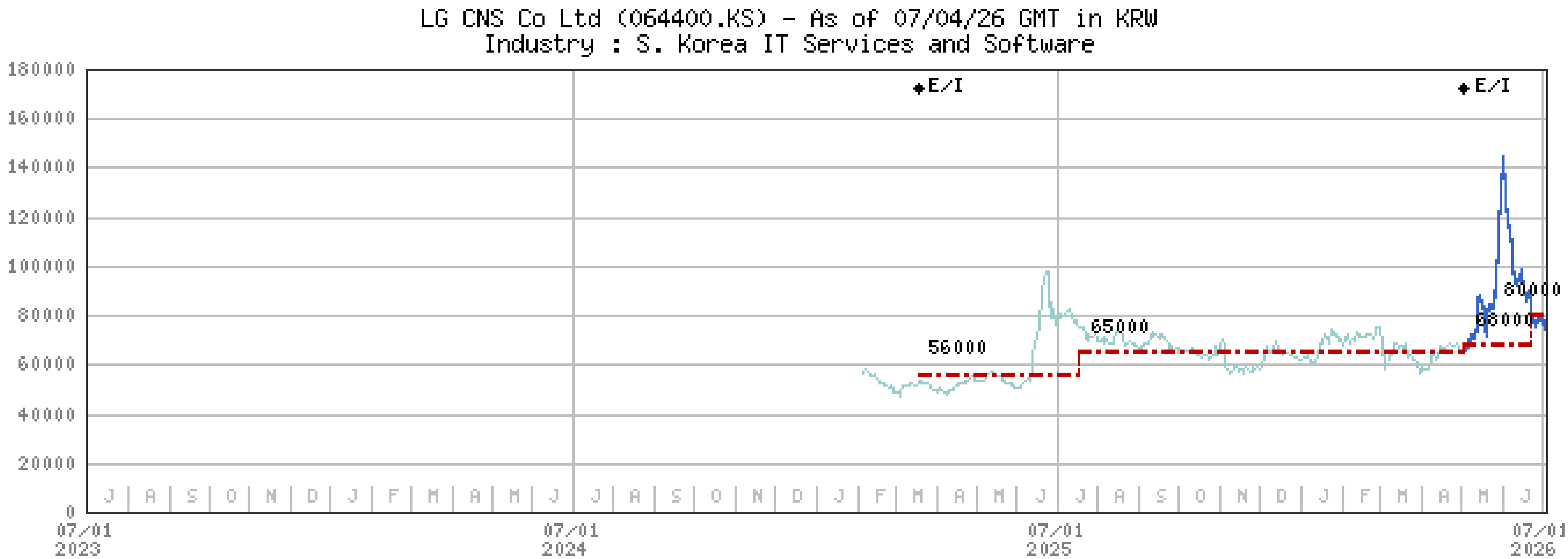

Stock Rating History: 3/18/25 : E/I; 5/4/26 : E/I

Price Target History: 3/18/25 : 56000; 7/17/25 : 65000; 5/4/26 : 68000; 6/23/26 : 80000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)

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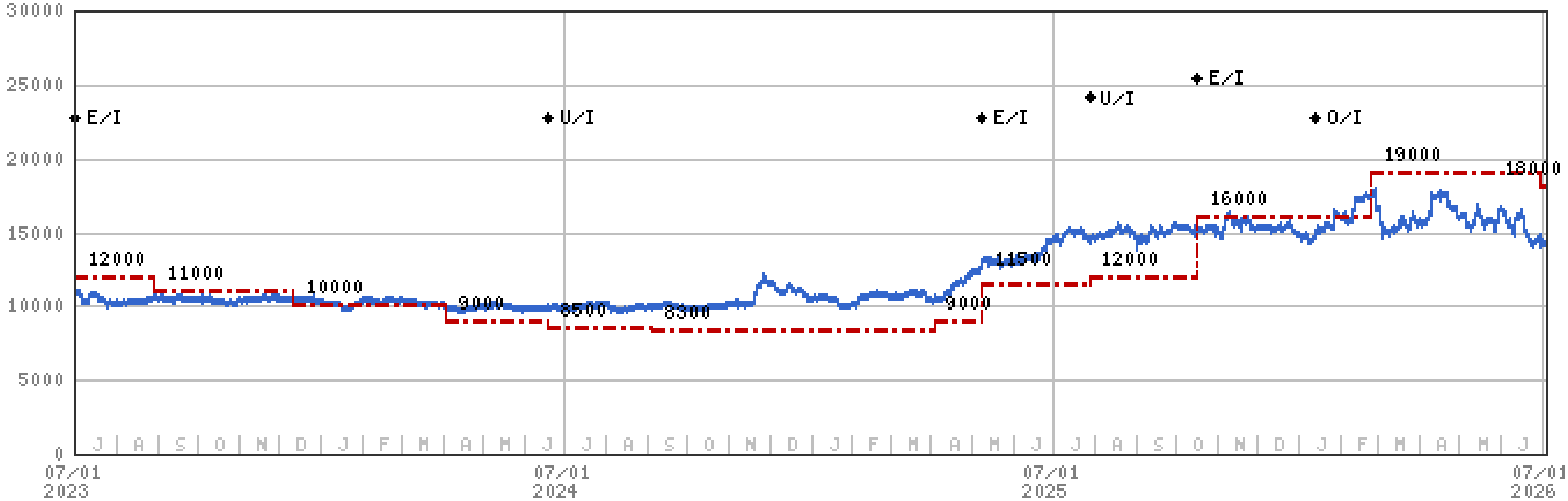
LG Uplus Corp (032640.KS) - As of 07/04/26 GMT in KRW
Industry : S. Korea Telecoms & Internet



Stock Rating History: 7/1/21 : O/I; 3/21/22 : E/I; 6/19/24 : U/I; 5/8/25 : E/I; 7/28/25 : U/I; 10/16/25 : E/I; 1/13/26 : O/I

Price Target History: 5/19/21 : 18000; 8/25/21 : 17000; 12/7/21 : 16000; 3/21/22 : 15000; 8/24/22 : 13500; 11/25/22 : 13000; 3/27/23 : 12000; 8/29/23 : 11000; 12/11/23 : 10000; 4/4/24 : 9000; 6/19/24 : 8500; 9/5/24 : 8300; 4/3/25 : 9000; 5/8/25 : 11500; 7/28/25 : 12000; 10/16/25 : 16000; 2/24/26 : 19000; 6/29/26 : 18000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
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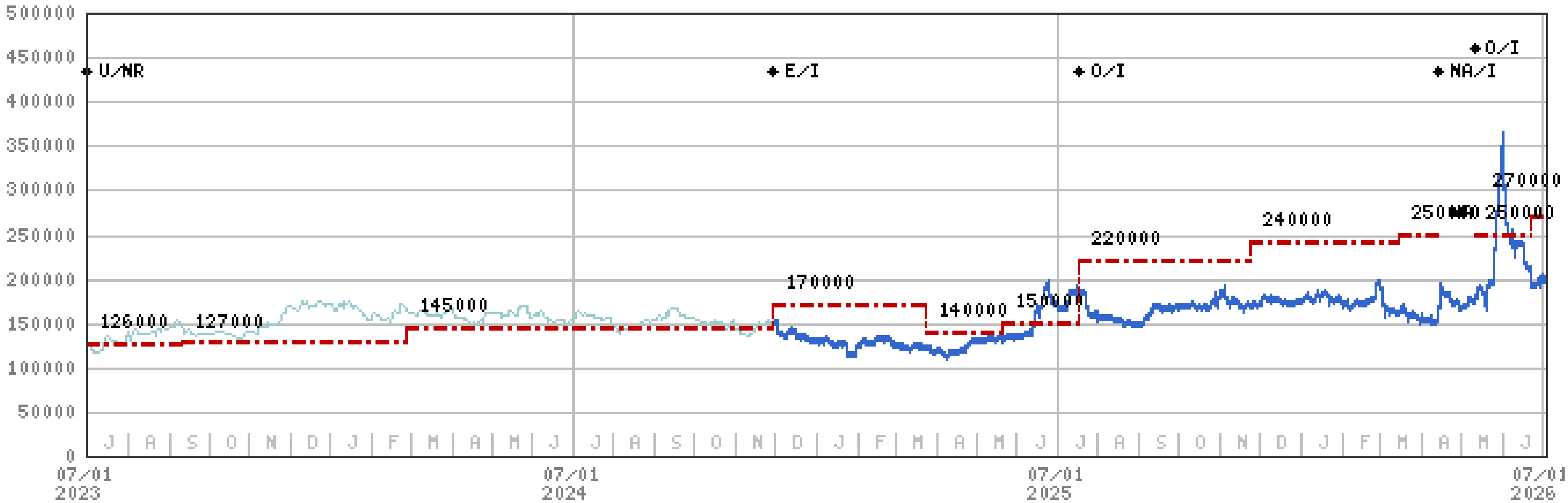
Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Samsung SDS (018260.KS) - As of 07/04/26 GMT in KRW
Industry : S. Korea IT Services and Software



Stock Rating History: 7/1/21 : E/NR; 1/6/22 : U/NR; 11/29/24 : E/I; 7/17/25 : O/I; 4/14/26 : NA/I; 5/11/26 : O/I

Price Target History: 1/22/21 : 200000; 10/26/21 : 160000; 1/6/22 : 136000; 1/26/23 : 126000; 9/11/23 : 127000; 2/27/24 : 145000; 11/29/24 : 170000; 3/24/25 : 140000; 5/21/25 : 150000; 7/17/25 : 220000; 11/24/25 : 240000; 3/16/26 : 250000; 4/14/26 : NA; 5/11/26 : 250000; 6/23/26 : 270000

Source: Morgan Stanley Research   Date Format : MM/DD/YY   Price Target   No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst)   Stock Price (Covered by Current Analyst)
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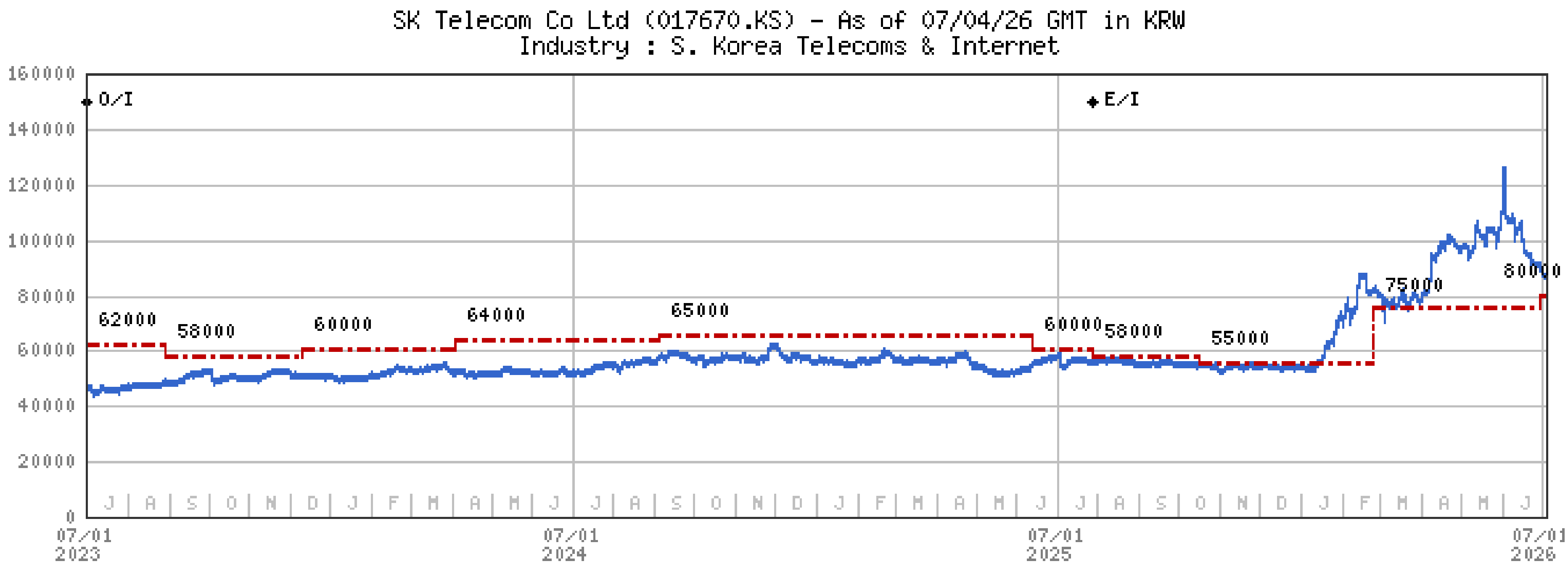
Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.



Stock Rating History: 7/1/21 : O/I; 7/28/25 : E/I

Price Target History: 4/21/21 : 118545.34; 8/20/21 : 115252.41; 9/14/21 : 118545.34; 11/29/21 : 75000; 3/21/22 : 72000; 5/26/22 : 74000; 8/24/22 : 70000; 11/25/22 : 68000; 3/27/23 : 60000; 6/23/23 : 62000; 8/29/23 : 58000; 12/11/23 : 60000; 4/4/24 : 64000; 9/5/24 : 65000; 6/12/25 : 60000; 7/28/25 : 58000; 10/16/25 : 55000; 2/24/26 : 75000; 6/29/26 : 80000

Source: Morgan Stanley Research   Date Format : MM/DD/YY   Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst)   Stock Price (Covered by Current Analyst)

Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: S. Korea Telecoms & Internet

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/06/2026)
Seyon Park		
Coupang Inc (CPNG.N)	O (06/29/2022)	US$18.56
Kakao Corp (035720.KS)	O (02/27/2025)	W35,600
Krafton Inc (259960.KS)	E (02/12/2025)	W234,500
KT Corp (030200.KS)	E (02/24/2026)	W54,500
LG Uplus Corp (032640.KS)	O (01/13/2026)	W14,200
Naver Corp (035420.KS)	E (04/19/2024)	W196,600
NC Corporation (036570.KS)	O (10/25/2024)	W252,500
SK Telecom Co Ltd (017670.KS)	E (07/28/2025)	W86,200
Sohyun Park		
DoubleU Games Co Ltd (192080.KS)	O (05/10/2024)	W65,100
Netmarble Games Corp (251270.KS)	E (05/14/2026)	W38,300
Pearl Abyss Corp (263750.KQ)	U (09/01/2025)	W36,400

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* Historical prices are not split adjusted.